EDMOND DE ROTHSCHILD

# ENHANCED FIXED INCOME ADVISORY PORTFOLIO

14 FEBRUARY 2019

EDMOND DE ROTHSCHILD, BOLD BUILDERS OF THE FUTURE.

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# INVESTMENT FRAMEWORK

# INVESTMENT FRAMEWORK

## OUR UNDERSTANDING OF YOUR NEEDS

| | |
|---|---|
| › **REFERENCE CURRENCY** | USD |
| › **INVESTMENT AMOUNT** | USD 5 Million |
| › **MANDATE TYPE** | Premium Advisory |
| › **RISK PROFILE** | Enhanced Fixed Income |
| › **INVESTMENT PROFILE** | Opportunistic |
| › **INVESTMENT OBJECTIVES** | YTM of 4% net p.a. |
| › **INVESTMENT HORIZON** | Approx. 4-5 years |
| › **SPECIFICITIES** | Investments in individual HY issuers possible |

# ENHANCED FIXED INCOME ADVISORY PORTFOLIO

# ENHANCED FIXED INCOME PORTFOLIO

## OVERVIEW

**Invested Capital: USD 5 Million**

**INVESTMENT STRATEGY**

**85%**
Core Straight/Direct Bonds

**15%**
Tactical Investment Funds

### Description

- **Fixed income portfolio** of direct bonds with a **target yield to maturity of 4% p.a.**
- **Diversification** across issuers, regions and sectors in order to **reduce the specific risk**
- **Mix of maturities** in oder to **mitigate the interest rate risk**

### Description

- **Tactical investments** in **top class diversified funds**, through broad **regional** and **sector** allocations
- **Active management** by **investment specialists**, with a **long experience** in the fields
- **Thematic-based** as well as **absolute-return based approaches**

# ENHANCED FIXED INCOME PORTFOLIO

## DESCRIPTION

### INVESTMENT APPROACH

- **Current yield environment** (real rates) no longer protect against interest rate risk attached to a bond investment
- **This risk can be mitigated** by staggering the maturing assets in the portfolio
- **Maturing bonds** provide reinvestment opportunities by taking advantage of any rate hike
- This staggering approach provides a degree of **flexibility** to clients depending on capital requirements at different points in time

### INVESTMENT STRATEGY

- **Investing 85% in straight bonds and 15% in tactical/thematic bond funds**
- Diversified portfolio (issuers, sectors, regions) constructed in order to provide a **positive real rate of return at maturity**
- **Liquidity of underlying** as a key element of the portfolio construction
- Unless credit risk deteriorates, bonds are selected to be held until maturity.

### BENEFITS

- **Visibility**: regular cash flow (coupons & principal)
- **Flexibility**: flows can be calibrated according to customer needs if needed/upon request (frequency, start & end date…)

# CORE STRAIGHT/DIRECT BONDS

*Allocation - 85%*

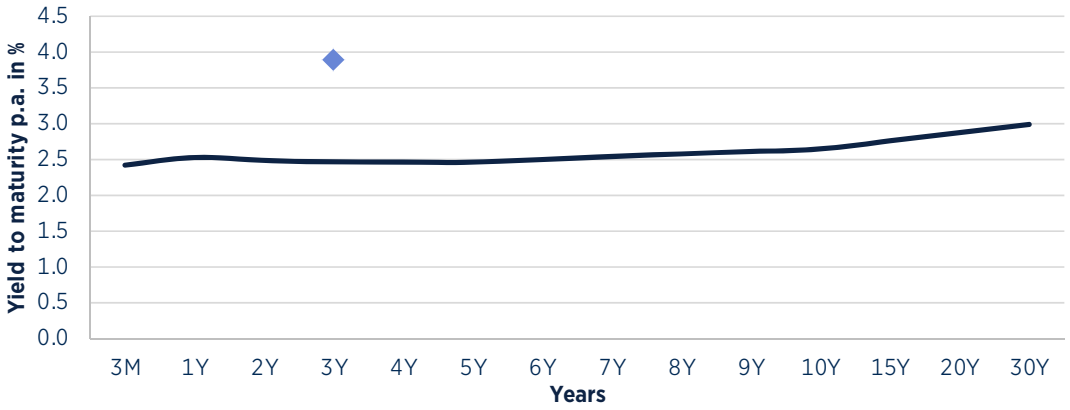
# ENHANCED FIXED INCOME PORTFOLIO

## CORE BOND HOLDINGS – OVERVIEW

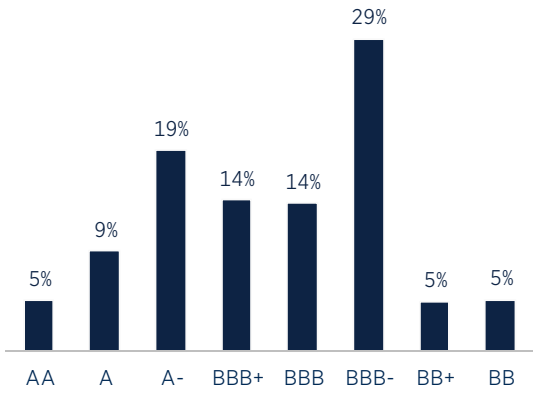
### PORTFOLIO AVERAGE

| | |
|---|---|
| Amount (incl. accrued interests) | **USD 4'265'058** |
| Rating | **BBB+** |
| Duration | **2.89** |
| Yield to maturity | **3.87** |
| Coupon | **4.07** |

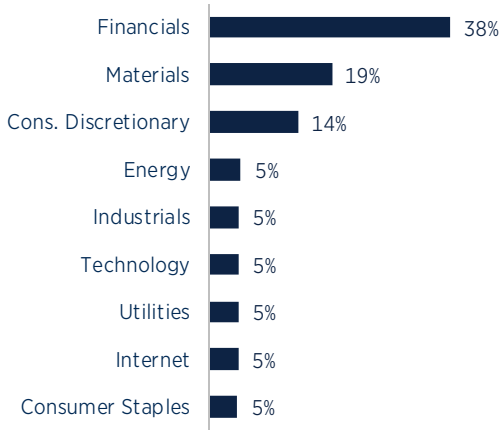
### PORTFOLIO & GOVERNMENT YIELD CURVE



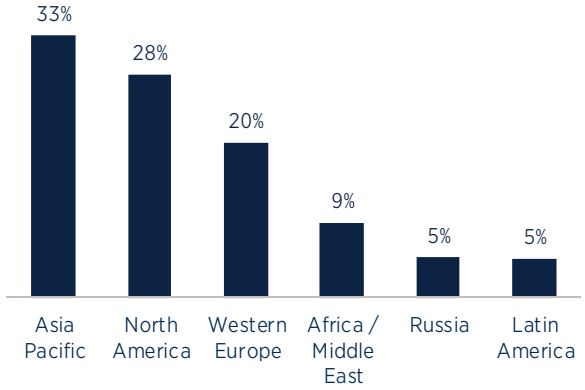

### RATING ALLOCATION




### SECTOR ALLOCATION




### REGIONAL ALLOCATION




Source: Bloomberg, as at 14.02.2019

# ENHANCED FIXED INCOME PORTFOLIO

## CORE BOND HOLDINGS – LIST OF ELIGIBLE SECURITIES

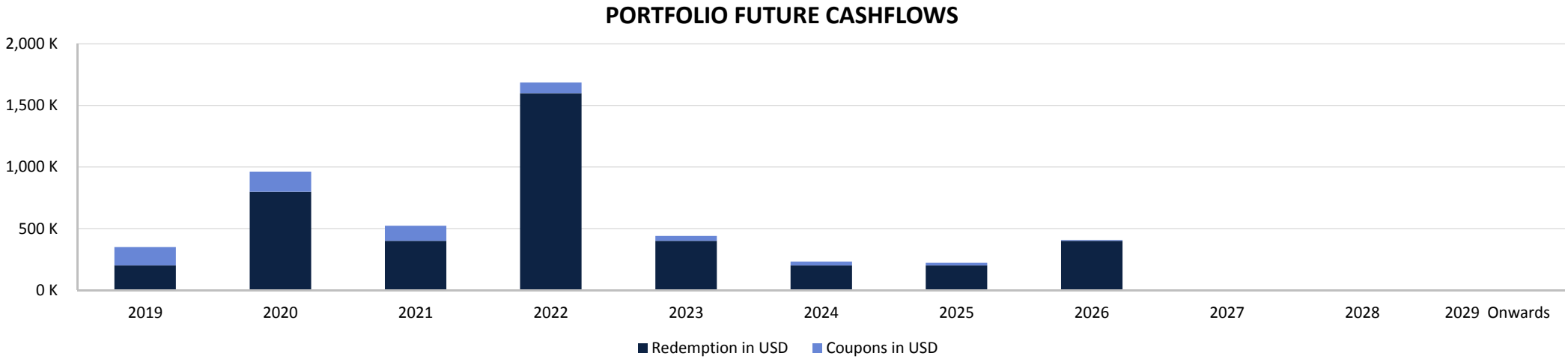
| CCY | Nominal | Minimum | Coupon | Type | Issuer | Sector | Country | Maturity | First Call Date | Rating | Subor. | Price* | YTM* | Duration | Value | % in Port | ISIN |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| USD | 200'000 | 200'000 | 3.625 | FIXED | SHANGHAI ELECTRIC POWER | Utilities | China | 11.08.2020 | | BBB | N | 99.75 | 3.80 | 1.42 | 199'667 | 4.0% | XS1262584532 |
| USD | 200'000 | 2'000 | 3.048 | FLOATING | TORONTO-DOMINION BANK | Financials | Canada | 17.09.2020 | | AA | N | 100.30 | 2.78 | 0.08 | 201'678 | 4.0% | US89114QC633 |
| USD | 200'000 | 100'000 | 4.500 | FIXED | SINOCHEM OVERSEAS CAPITA | Financials | China | 12.11.2020 | | A- | N | 101.65 | 3.50 | 1.64 | 205'733 | 4.1% | USG8185TAA72 |
| USD | 200'000 | 100'000 | 5.750 | FIXED | ICICI BANK LTD/HONG KONG | Financials | India | 16.11.2020 | | BBB- | N | 103.29 | 3.78 | 1.63 | 209'555 | 4.2% | USY3860XAC75 |
| USD | 200'000 | 100'000 | 5.750 | FIXED | GERDAU TRADE INC | Materials | Brazil | 30.01.2021 | | BBB- | N | 104.08 | 3.56 | 1.83 | 208'761 | 4.2% | USG3925DAA84 |
| USD | 200'000 | 1'000 | 3.046 | FLOATING | CATERPILLAR FINL SERVICE | Industrials | United States | 07.09.2021 | | A- | N | 100.02 | 2.97 | 0.04 | 201'300 | 4.0% | US14913Q2P38 |
| USD | 200'000 | 2'000 | 3.515 | FLOATING | HP ENTERPRISE CO | Technology | United States | 05.10.2021 | 20.09.2019 | BBB | N | 99.60 | 4.12 | 0.12 | 200'046 | 4.0% | US42824CBB46 |
| USD | 200'000 | 200'000 | 3.250 | FIXED | STATE BANK OF INDIA | Financials | India | 24.01.2022 | | BBB- | N | 98.66 | 3.74 | 2.76 | 197'777 | 4.0% | XS1551709568 |
| USD | 200'000 | 2'000 | 6.250 | FIXED | ARCELORMITTAL | Materials | Luxembourg | 25.02.2022 | | BBB- | N | 106.75 | 3.86 | 2.68 | 219'546 | 4.4% | US03938LAX29 |
| USD | 200'000 | 100'000 | 6.510 | FIXED | GAZPROM (GAZ CAPITAL SA) | Energy | Russia | 07.03.2022 | | BBB- | N | 105.95 | 4.40 | 2.69 | 217'767 | 4.4% | XS0290580595 |
| USD | 200'000 | 1'000 | 3.125 | FIXED | SYNGENTA FINANCE NV | Materials | Switzerland | 28.03.2022 | | BB+ | N | 97.49 | 3.99 | 2.89 | 197'434 | 3.9% | US87164KAA25 |
| USD | 200'000 | 2'000 | 3.100 | FIXED | HYUNDAI CAPITAL AMERICA | Cons. Discretionary | United States | 05.04.2022 | | BBB+ | N | 98.55 | 3.59 | 2.92 | 199'408 | 4.0% | US44891CAM55 |
| USD | 200'000 | 200'000 | 3.750 | FIXED | ANGLO AMERICAN CAPITAL | Materials | South Africa | 10.04.2022 | | BBB- | N | 99.42 | 3.95 | 2.90 | 201'534 | 4.0% | USG0446NAK03 |
| USD | 200'000 | 200'000 | 2.875 | FIXED | BAIDU INC | Internet | China | 06.07.2022 | | A- | N | 97.91 | 3.54 | 3.18 | 196'511 | 3.9% | US056752AH11 |
| USD | 200'000 | 200'000 | 3.250 | FIXED | EMIRATES NBD BANK PJSC | Financials | UAE | 14.11.2022 | | A | N | 98.59 | 3.66 | 3.45 | 198'897 | 4.0% | XS1716831570 |
| USD | 200'000 | 200'000 | 5.250 | FIXED | FIAT CHRYSLER AUTOMOBILE | Cons. Discretionary | UK | 15.04.2023 | | BB | N | 101.67 | 4.80 | 3.64 | 206'961 | 4.1% | US31562QAF46 |
| USD | 200'000 | 200'000 | 3.000 | FIXED | KIA MOTORS CORP | Cons. Discretionary | South Korea | 25.04.2023 | | BBB+ | N | 96.66 | 3.87 | 3.85 | 195'214 | 3.9% | USY47606AF80 |
| USD | 200'000 | 200'000 | 5.125 | FIXED | UBS AG | Financials | Switzerland | 15.05.2024 | | BBB+ | Y | 101.56 | 4.78 | 4.35 | 210'911 | 4.2% | CH0244100266 |
| USD | 200'000 | 2'000 | 4.000 | FIXED | MACQUARIE BANK LTD | Financials | Australia | 29.07.2025 | | A | N | 100.62 | 3.89 | 5.63 | 201'686 | 4.0% | US55608RAQ39 |
| USD | 200'000 | 2'000 | 3.250 | FIXED | KELLOGG CO | Consumer Staples | United States | 01.04.2026 | | BBB | N | 95.52 | 3.98 | 6.19 | 193'540 | 3.9% | US487836BP25 |
| USD | 200'000 | 2'000 | 3.500 | FIXED | BANK OF AMERICA CORP | Financials | United States | 19.04.2026 | | A- | N | 99.40 | 3.60 | 6.21 | 201'133 | 4.0% | US06051GFX25 |
| **Total/Average** | | | **4.070** | | | | | | | **BBB+** | | | **3.87** | **2.89** | **4'265'058** | **85.3%** | |

Source: Bloomberg, as at 14.02.2019

# ENHANCED FIXED INCOME PORTFOLIO

## CORE BOND HOLDINGS – EXPECTED CASH FLOW

| USD | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 Onwards |
|---|---|---|---|---|---|---|---|---|---|
| **January** | | 15'875 | 215'875 | 210'125 | 4'000 | 4'000 | 4'000 | | |
| **February** | 6'250 | 9'875 | 6'250 | 206'250 | | | | | |
| **March** | 14'439 | 12'682 | 11'158 | 409'635 | | | | | |
| **April** | 21'850 | 21'850 | 21'850 | 421'850 | 415'000 | 6'750 | 6'750 | 406'750 | |
| **May** | 23'750 | 23'750 | 13'500 | 13'500 | 10'250 | 210'250 | | | |
| **June** | 4'804 | 3'047 | 1'523 | | | | | | |
| **July** | 15'875 | 15'875 | 10'125 | 206'875 | 4'000 | 4'000 | 204'000 | | |
| **August** | 9'875 | 209'875 | 6'250 | | | | | | |
| **September** | 214'439 | 212'682 | 211'158 | | | | | | |
| **October** | 21'850 | 21'850 | 21'850 | 15'000 | 6'750 | 6'750 | 6'750 | | |
| **November** | 13'500 | 413'500 | 3'250 | 203'250 | | | | | |
| **December** | 3'047 | 1'523 | | | | | | | |
| | | | | | | | | | |
| **Coupons in USD** | **149'680** | **162'384** | **122'789** | **86'485** | **40'000** | **31'750** | **21'500** | **6'750** | **0** |
| ***Coupons in %*** | *3.51%* | *3.81%* | *2.88%* | *2.03%* | *0.94%* | *0.74%* | *0.50%* | *0.16%* | *0.00%* |
| **Redemption in USD** | **200'000** | **800'000** | **400'000** | **1'600'000** | **400'000** | **200'000** | **200'000** | **400'000** | **0** |




Source: Bloomberg, as at 14.02.2019

# TACTICAL INVESTMENT FUNDS

*Allocation - 15%*

# ENHANCED FIXED INCOME PORTFOLIO

## EdR BOND ALLOCATION FUND IN USD – 5% OF TOTAL PORTFOLIO

### Edmond de Rothschild Fund - Bond Allocation A USD H Acc

**Performance History** 31/Jan/2019

**Growth of 1,000 (BAS)** Advanced Graph

| | 2015 | 2016 | 2017 | 2018 | 2019 |
|---|---|---|---|---|---|
| Fund | - | 7.1 | 5.3 | -0.5 | 2.4 |
| +/-Cat | - | - | - | - | - |
| +/-Idx | - | - | - | - | - |

Category: Other Bond
Index: -

**Trailing Returns** 12/Feb/2019

| | Fund | +/-Idx |
|---|---|---|
| YTD | 2.15 | - |
| 3 Years Annualized | 6.24 | - |
| 5 Years Annualized | - | - |
| 10 Years Annualized | - | - |

| | |
|---|---|
| 12 Month Yield | 0.00 |
| Tax Year Return | 5.03% |

**Key Stats**

| | |
|---|---|
| **Morningstar® Category** | **Morningstar Rating™** |
| Other Bond | Not Rated |
| **IMA Sector** | **ISIN** |
| - | LU1426148711 |
| **NAV** 12/Feb/2019 | **Day Change** |
| USD 116.69 | 0.16% |
| **Fund Size (mil)** 12/Feb/2019 | **Share Class Size (mil)** 12/Feb/2019 |
| 2,851.38 EUR | 32.32 USD |
| **Total Expense Ratio** | **Initial Charge** |
| 1.95% | 1.00% |
| **Entry Price** | **Exit Price** |
| - | - |
| **Exit Charge** | **Manager Name** |
| - | Guillaume Rigeade |
| **Inception Date** | **In-house ISA scheme** |
| 05/Jun/2015 | Yes |

**Benchmark**

**Fund Benchmark**

50% BBgBarc Euro Agg Corps TR EUR , 50% BBgBarc Euro Agg Treasury TR EUR

**Morningstar® Benchmark**

-

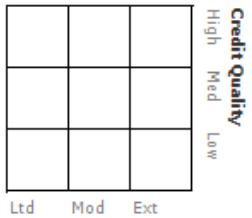
**Investment Objective**

The Sub-Fund's objective is to offer an annualized performance exceeding the Index composed of 50% of the Barclays Capital Euro Aggregate Corporate Total Return Index and 50% of the Barclays Capital Euro Aggregate Treasury Total Return Index over the investment period.

**Portfolio Profile** 31/Dec/2018

**Morningstar Style Box®**

Fixed Income Style




**Interest Rate Sensitivity**

**Asset Allocation %**

| | % Long | % Short | Net Assets |
|---|---|---|---|
| Stocks | 0.03 | 0.11 | -0.07 |
| Bonds | 84.80 | 1.33 | 83.47 |
| Cash | 7.41 | 0.63 | 6.78 |
| Other | 9.87 | 0.05 | 9.82 |

| Top 5 Holdings | % |
|---|---|
| United States Treasury Notes 0.62% 20... | 10.10 |
| EdR Credit Very Short Term R A/I | 3.60 |
| Germany (Federal Republic Of) 0.5% 20... | 3.56 |
| Spain (Kingdom of) 2029-01-31 | 3.10 |
| Germany (Federal Republic Of) 0.1% 20... | 2.62 |

| Fixed Income | |
|---|---|
| Effective Maturity (Y) | - |
| Effective Duration | - |
| Average Credit Quality | - |

Source:Factset, Morningstar, as at 14.02.2019

# ENHANCED FIXED INCOME PORTFOLIO

## M&G OPTIMAL INCOME FUND IN USD – 5% OF TOTAL PORTFOLIO

### M&G Optimal Income Fund USD A-H Acc

**Performance History** 31/Jan/2019

**Growth of 1,000 (BAS)** Advanced Graph

| | 2015 | 2016 | 2017 | 2018 | 2019 |
|---|---|---|---|---|---|
| Fund | -1.4 | 7.9 | 6.5 | -2.1 | 2.4 |
| +/-Cat | 1.2 | 4.9 | -0.7 | 1.6 | -0.2 |
| +/-Idx | -1.7 | 3.7 | -1.9 | -0.1 | -0.4 |

Category: USD Cautious Allocation
Index: Cat 75%Barclays US Agg TR&25%FTSE Wld TR

**Trailing Returns** 13/Feb/2019

| | Fund | +/-Idx |
|---|---|---|
| YTD | 2.65 | -0.22 |
| 3 Years Annualized | 6.15 | 1.29 |
| 5 Years Annualized | 3.38 | -0.32 |
| 10 Years Annualized | - | - |
| 12 Month Yield | | 1.44 |
| Tax Year Return | | 5.09% |

**Key Stats**

**Morningstar Analyst Rating™ *** Silver

**Morningstar® Category**
USD Cautious Allocation

**Morningstar Rating™**
★★★★★

**IMA Sector**
£ Strategic Bond

**ISIN**
GB00B4WS3X34

**NAV** 13/Feb/2019
USD 15.51

**Day Change**
0.11%

**Fund Size (mil)**
13/Feb/2019
18,922.46 GBP

**Share Class Size (mil)**
13/Feb/2019
1,571.73 USD

**Total Expense Ratio**
1.43%

**Initial Charge**
4.00%

**Entry Price**
-

**Exit Price**
-

**Exit Charge**
-

**Manager Name**
Richard Woolnough

**Inception Date**
01/Oct/2010

**In-house ISA scheme**
No

**Benchmark**

**Fund Benchmark**
N/A

**Morningstar® Benchmark**
Cat 75%Barclays US Agg TR&25%FTSE Wld TR

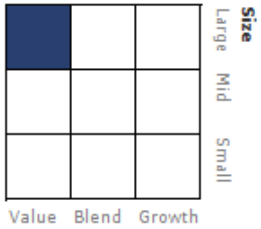
* This rating and report were issued for a different share class of this fund. The performance and fee structure of this class may vary from that referenced.

**Investment Objective**

The fund aims to provide a total return (the combination of income and growth of capital) to investors based on exposure to optimal income streams in investment markets.

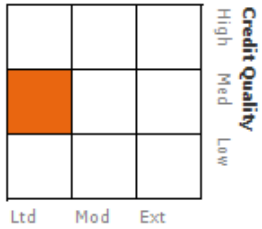
**Portfolio Profile** 31/Dec/2018

**Morningstar Style Box®**
Equity Style




**Style**

**Morningstar Style Box®**
Fixed Income Style




**Interest Rate Sensitivity**

Source:Factset, Morningstar, as at 14.02.2019

# ENHANCED FIXED INCOME PORTFOLIO

## EdR EMERGING CREDIT FUND IN USD – 5% OF TOTAL PORTFOLIO

### Edmond de Rothschild Fund - Emerging Credit A USD

**Performance History** 31/Jan/2019

**Growth of 1,000 (BAS)** Advanced Graph

| | 2015 | 2016 | 2017 | 2018 | 2019 |
|---|---|---|---|---|---|
| Fund | 2.3 | 23.7 | 11.8 | -4.3 | 3.9 |
| +/-Cat | 4.1 | 13.5 | 2.3 | -0.2 | 1.0 |
| +/-Idx | 2.2 | 12.4 | 4.0 | -2.6 | 1.1 |

Category: Global Emerging Markets Corporate Bond
Index: Morningstar EM Corp Bd TR USD

**Trailing Returns** 12/Feb/2019

| | Fund | +/-Idx |
|---|---|---|
| YTD | 4.06 | 0.98 |
| 3 Years Annualized | 12.54 | 5.52 |
| 5 Years Annualized | 5.63 | 1.11 |
| 10 Years Annualized | - | - |
| 12 Month Yield | | 0.00 |
| Tax Year Return | | 6.54% |

**Key Stats**

**Morningstar® Category**
Global Emerging Markets Corporate Bond

**IMA Sector**
-

**NAV** 12/Feb/2019
USD 188.46

**Fund Size (mil)**
12/Feb/2019
406.90 USD

**Total Expense Ratio**
2.71%

**Entry Price**
-

**Exit Charge**
-

**Inception Date**
15/Jul/2014

**Benchmark**

**Fund Benchmark**
JPM CEMBI Broad NR T

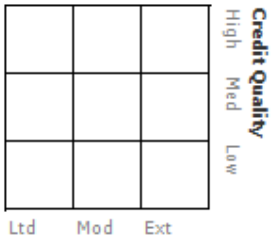
**Morningstar® Benchmarl**
Morningstar EM Corp B

**Investment Objective**

The objective of the Sub-Fund is to achieve long-term optimum growth of the invested capital via investments in regulated capital and money markets. In particular, the Sub-Fund aims to outperform the JP Morgan CEMBI Broad Index.

**Portfolio Profile** 31/Dec/2018

**Morningstar Style Box®**
Fixed Income Style




**Asset Allocation %**

| | % Long | % Short | Net Assets |
|---|---|---|---|
| Stocks | 0.00 | 0.00 | 0.00 |
| Bonds | 97.64 | 0.00 | 97.64 |
| Cash | 2.72 | 0.36 | 2.36 |
| Other | 0.00 | 0.00 | 0.00 |

| Top 5 Holdings | % |
|---|---|
| DTEK Finance PLC 0.75% 2024-12-31 | 3.36 |
| Metinvest B.V. 8.5% 2026-04-23 | 2.31 |
| Buenos Aires (City Of) 7.5% 2027-06-01 | 1.94 |
| MHP SE 7.75% 2024-05-10 | 1.90 |
| Rumo Luxembourg S A R L 7.38% 2024-02-09 | 1.89 |

| Fixed Income | |
|---|---|
| Effective Maturity (Y) | - |
| Effective Duration | - |
| Average Credit Quality | - |

**Current Yield to Maturity: 7.21%**

Source:Factset, Morningstar, as at 14.02.2019

# EDMOND DE ROTHSCHILD BOND ALLOCATION

# EDR BOND ALLOCATION FUND

## KEY POINTS

- **EdR Bond Allocation Fund** is a flexible, diversified & actively managed fund invested in global's bond market segments. It deploys different strategies such as carry, duration, yield curve and relative value in order to capture market opportunities. An approach based on convictions, reactivity and transparency.

- **Double Investment objective:**
  - The objective of the fund is to outperform a composite benchmark 50% Barclays EuroAggregate Treasury TR + 50% Barclays EuroAggregate Corporate TR
  - Generate positive returns over the investment horizon in all market conditions
- Used by many clients seeking to **delegate the management of their bond investment to experts** in their asset class, especially in a complex environment.

- **Clear Investment rules :**
  - Modified Duration : Dynamic management between -2 to +8
  - Currency Risk : Currency risk is systematically hedged
  - High Yield & Emerging Market debt : 50% max.
  - Exposure to equity risk : 10% maximum via convertible bonds
  - Risk Monitoring : Global portfolio exposure is monitored on a real-time basis through a VaR approach (VaR (99%; 1day)) with a limit of 1.6%.

**€ 2.846 M**
Assets under management

Inception : 30/12/2004
**New strategy: 14.02.2013**

**+23.9% performance returns**
since launch of the new strategy (+3.8% annualised)

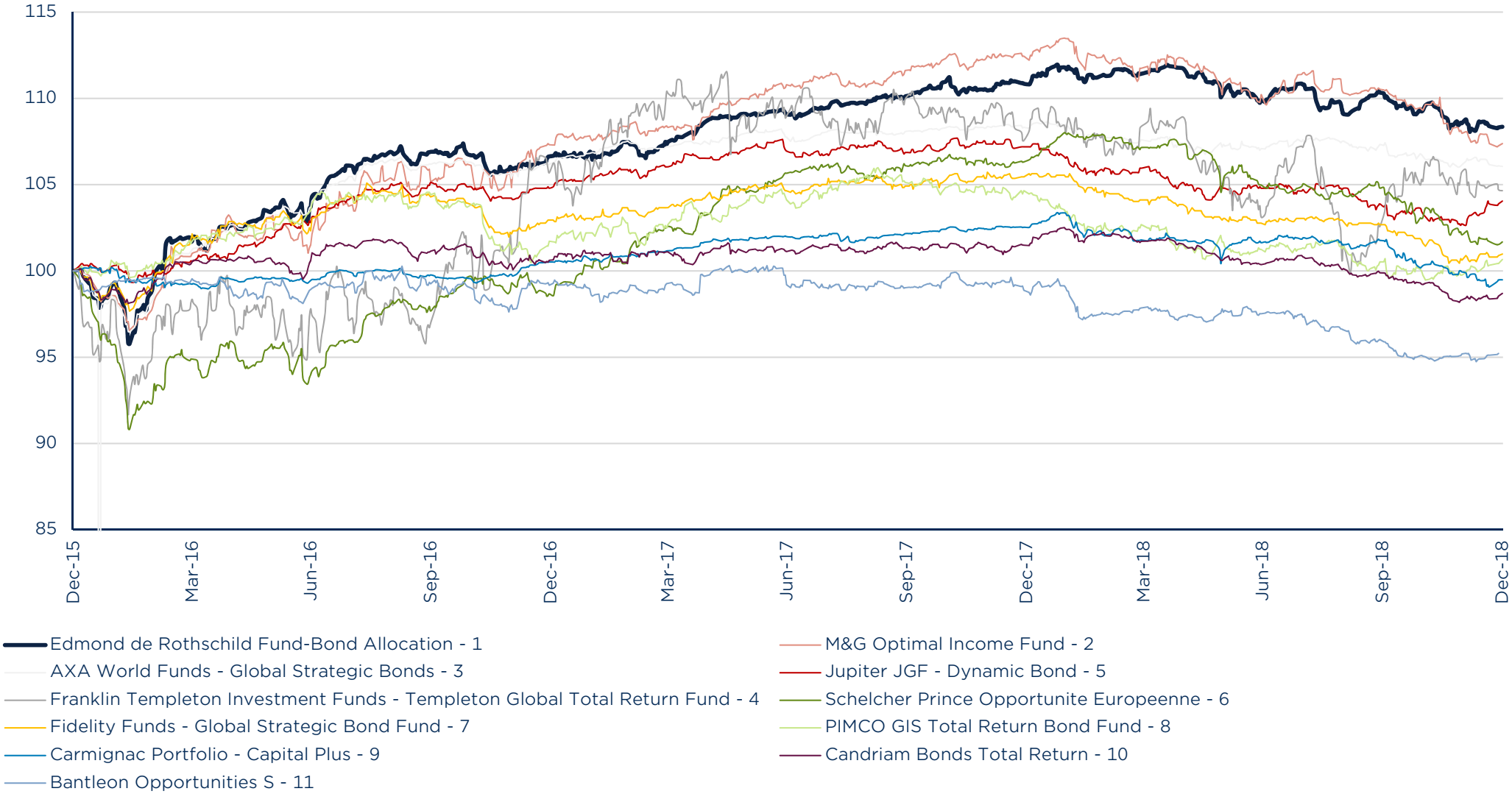
**3 years minimum**
Investment horizon

**3/7**
Level of SRRI risk

MORNINGSTAR ★★★★★

# EDR BOND ALLOCATION FUND

## 3Y TRACK RECORD






The peer group above is a representative, but non-exhaustive, sample of funds having similar investment objectives.
Fund institut. share class – Main share class: EUR. USD and other currencies available. Past performance is not indicative for future returns.



Source: Bloomberg

# EDR BOND ALLOCATION FUND

## 3Y TRACK RECORD

| Name | Ccy | Total Return | Rank | Ann. Return | Volatility | Best Month | Worst Month | Max Drawdown (daily) | 3Y Sharpe Ratio |
|---|---|---|---|---|---|---|---|---|---|
| **Edmond de Rothschild Fund-Bond Allocation** | **EUR** | **8.4%** | **1** | **2.7%** | **3.0%** | **3.0%** | **-1.5%** | **-5.0%** | **1.01** |
| M&G Optimal Income Fund | EUR | 7.4% | 2 | 2.4% | 3.9% | 3.4% | -1.6% | -5.6% | 0.72 |
| AXA World Funds - Global Strategic Bonds | EUR | 6.1% | 3 | 2.0% | 2.7% | 3.1% | -1.4% | -4.8% | 0.88 |
| Franklin Templeton Investment Funds - Templeton Global Total Return Fund | EUR | 4.7% | 4 | 1.5% | 7.3% | 4.3% | -5.3% | -11.2% | 0.26 |
| Jupiter JGF - Dynamic Bond | EUR | 4.1% | 5 | 1.3% | 2.0% | 1.3% | -0.9% | -4.7% | 0.86 |
| Schelcher Prince Opportunite Europeenne | EUR | 1.7% | 6 | 0.6% | 5.2% | 2.8% | -4.3% | -10.6% | 0.18 |
| Fidelity Funds - Global Strategic Bond Fund | EUR | 1.0% | 7 | 0.3% | 2.9% | 3.3% | -1.6% | -5.0% | 0.24 |
| PIMCO GIS Total Return Bond Fund | EUR | 0.7% | 8 | 0.2% | 2.6% | 1.3% | -2.3% | -6.2% | 0.23 |
| Carmignac Portfolio - Capital Plus | EUR | -0.5% | 9 | -0.2% | 1.6% | 0.7% | -1.4% | -4.2% | 0.13 |
| Candriam Bonds Total Return | EUR | -1.3% | 10 | -0.4% | 2.0% | 1.5% | -1.1% | -4.2% | -0.03 |
| Bantleon Opportunities S | EUR | -4.9% | 11 | -1.7% | 1.9% | 1.3% | -1.4% | -7.1% | -0.70 |
| ***Benchmark*** | ***EUR*** | ***5.7%*** | | ***1.9%*** | ***2.7%*** | ***1.6%*** | ***-1.4%*** | ***-3.9%*** | 0.81 |
| *J.P. Morgan Cash Index Euro Currency 1 Month* | *EUR* | *-1.1%* | | *-0.4%* | *0.0%* | *0.0%* | *0.0%* | *-1.2%* | |

The peer group above is a representative, but non-exhaustive, sample of funds having similar investment objectives.
Fund institut. share class – Main share class: EUR. USD and other currencies available. Past performance is not indicative for future returns.

Source: Bloomberg

# EDMOND DE ROTHSCHILD EMERGING CREDIT FUND

# EDR EMERGING CREDIT FUND

## KEY POINTS

- **EdR Fund Emerging Credit** is a hybrid credit fund (BBB+ à B-) with a BB/B+ average target rating investing in 100% USD denominated emerging market corporate debt
- **Investment objective:**
  - The objective of the fund is to achieve long-term optimum growth of the invested capital via investments in regulated capital and money markets and to outperform the JPM CEMBI Broad Index over the long term.
- **Conviction-based management**
  - We only invest in companies with management teams that we have met and in companies which are actively covered
  - Credit convictions based both on a fundamental analysis and on a relative value analysis
- **Flexibility to invest across countries and sectors which allows high diversification**
- **In depth knowledge of the asset class with 20 years' experience analyzing and investing corporate bonds**
- **Top down and bottom up process using a three-pillar structure:**

**"Boost zone"**
The portfolio's muscle
Maximum 30%

- Sector leaders, but often still under-appreciated
- Major growth and/or upside potential (recovery play)
- Debt generally rated B and likely to be upgraded medium term (2-3 yrs)
- Low liquidity on bonds

**"Medium-risk zone"**
The portfolio's core
Minimum 50%

- Leading companies in their sector, with a rating solidly anchored around BB
- Growth potential, relatively solid fundamentals
- Average to good liquidity on bonds

**"Low risk zone"**
The portfolio's defensive bucket
Minimum 15%

- Emerging market blue chips: bonds issued by governments or government-controlled companies with a sound rating (BB+ to BBB)
- Solid fundamentals
- Good liquidity on bonds

**$ 398M**
Assets under management

**25.05.2009**
Fund inception

**+5.4%**
Annualised performance since inception

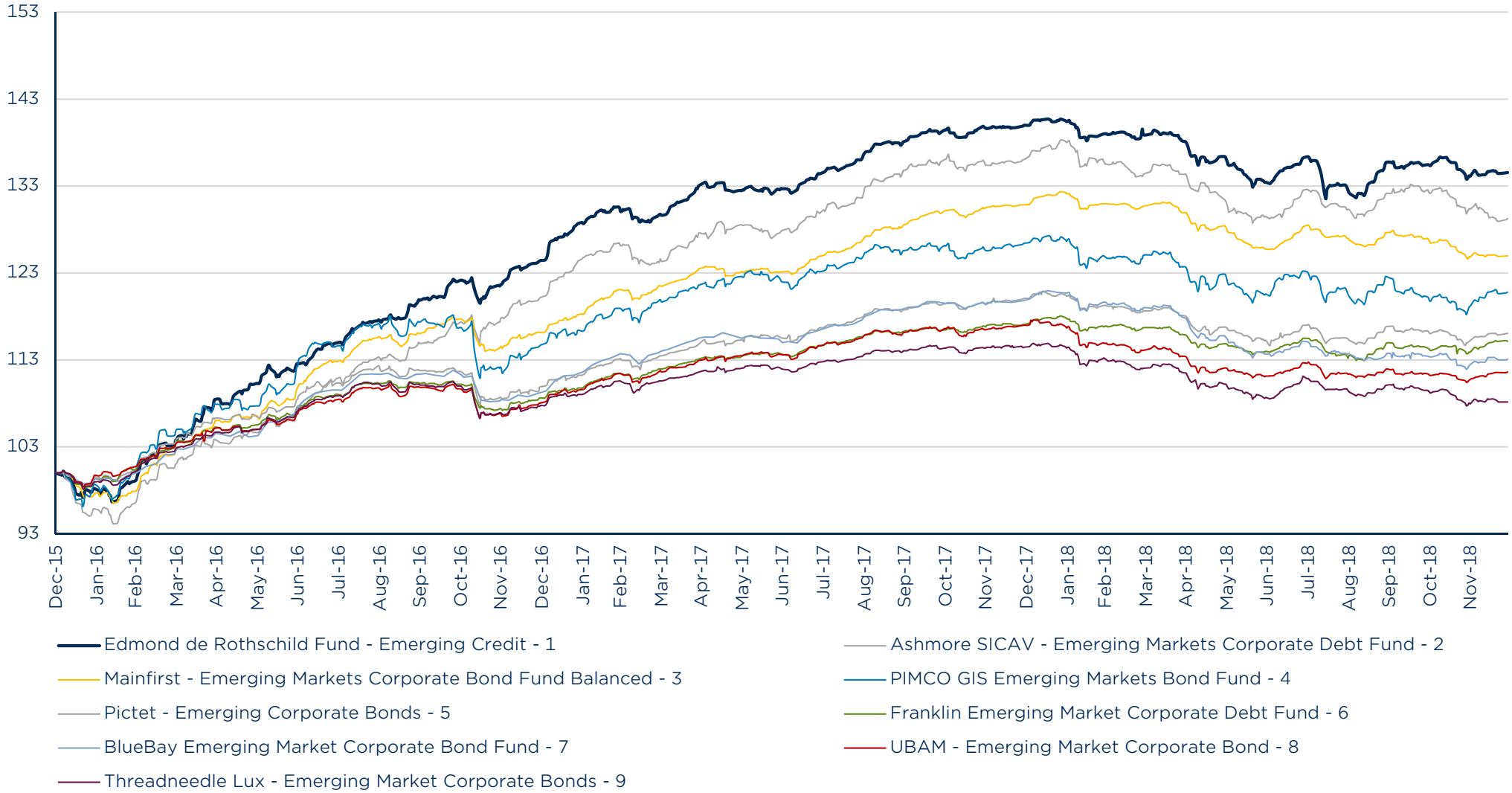
**3 years minimum**
Investment horizon

**4/7**
Level of SRRI risk

MORNINGSTAR®
★★★★★

# EDR EMERGING CREDIT FUND

## 3Y TRACK RECORD



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Fund institut. share class – Main share class: EUR. USD and other currencies available. Past performance is not indicative for future returns.



Source: Bloomberg

# EDR EMERGING CREDIT FUND

## 3Y TRACK RECORD

| Name (31.12.2015 – 31.12.2018) | Ccy | Start Date | Total Return | Rank | Ann. Return | Volatility | Best Month | Worst Month | Max Drawdown (daily) | 3Y Sharpe Ratio |
|---|---|---|---|---|---|---|---|---|---|---|
| **Edmond de Rothschild Fund - Emerging Credit** | **USD** | 31.12.2015 | **34.6%** | **1** | **10.4%** | **6.1%** | **4.8%** | **-3.1%** | **-7.0%** | **1.53** |
| Ashmore SICAV - Emerging Markets Corporate Debt Fund | USD | 31.12.2015 | 29.5% | 2 | 9.0% | 6.6% | 4.7% | -4.1% | -11.3% | 1.19 |
| Mainfirst - Emerging Markets Corporate Bond Fund Balanced | USD | 29.01.2016 | 25.0% | 3 | 8.0% | 5.9% | 5.0% | -2.7% | -6.2% | 1.16 |
| PIMCO GIS Emerging Markets Bond Fund | USD | 31.12.2015 | 20.9% | 4 | 6.5% | 6.2% | 4.6% | -3.9% | -7.1% | 0.86 |
| Pictet - Emerging Corporate Bonds | USD | 31.12.2015 | 16.1% | 5 | 5.1% | 4.2% | 3.5% | -2.7% | -5.2% | 0.94 |
| Franklin Emerging Market Corporate Debt Fund | USD | 31.12.2015 | 15.1% | 6 | 4.8% | 3.8% | 3.2% | -2.6% | -4.3% | 0.97 |
| BlueBay Emerging Market Corporate Bond Fund | USD | 31.12.2015 | 13.1% | 7 | 4.2% | 4.5% | 3.1% | -2.6% | -7.5% | 0.67 |
| UBAM - Emerging Market Corporate Bond | USD | 31.12.2015 | 11.6% | 8 | 3.7% | 3.8% | 2.7% | -2.6% | -6.1% | 0.68 |
| Threadneedle Lux - Emerging Market Corporate Bonds | EUR | 31.12.2015 | 8.2% | 9 | 2.6% | 4.1% | 2.8% | -2.8% | -6.3% | 0.36 |
| **J.P. Morgan CEMBI Broad CORE** | **USD** | ***31.08.2015*** | ***16.6%*** | | ***5.2%*** | ***3.7%*** | ***3.3%*** | ***-2.3%*** | ***-4.0%*** | **1.09** |
| *J.P. Morgan Cash Index USD 1 Month* | *USD* | *31.12.2015* | *3.6%* | | *1.2%* | *0.2%* | *0.2%* | *0.0%* | *0.0%* | |



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Fund institut. share class – Main share class: EUR. USD and other currencies available. Past performance is not indicative for future returns.

Source: Bloomberg

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